

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR

HOUSE BILL NO. 3705

By: Caldwell (Chad)

COMMITTEE SUBSTITUTE

[schools - Parental Choice Tax Credit Program -
amount - credits - effective date]

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY Section 2, Chapter 278, O.S.L.
2023, as last amended by Section 2, Chapter 295, O.S.L. 2025 (70
O.S. Supp. 2025, Section 28-101), is amended to read as follows:

Section 28-101. A. As used in the Oklahoma Parental Choice Tax
Credit Act:

1. "Accrediting association" means a recognized legal entity
that meets the accreditation requirements set by the State Board of
Education, another accrediting association approved by the State
Board of Education, or a legal entity that accredits education
organizations in multiple states, whose purpose is to verify that an
education program meets or exceeds predetermined criteria, and
monitor the education organization during the time it is accredited

1 by completing regular reevaluations and on-site inspections of the
2 education program;

3 2. "Commission" means the Oklahoma Tax Commission;

4 3. "Curriculum" means a complete course of study for a
5 particular content area or grade level;

6 4. "Department" means the State Department of Education;

7 5. "Education service provider" means a person, business,
8 public school district, public charter school, magnet school, or
9 organization that provides educational goods and/or services to
10 eligible students in this state;

11 6. "Eligible student" means a resident of this state who is
12 eligible to enroll in a public school in this state. Eligible
13 student shall include a student who is enrolled in and attends or is
14 expected to enroll in a private school in this state accredited by
15 the State Board of Education or another accrediting association or a
16 student who is educated pursuant to the other means of education
17 exception provided for in subsection A of Section 10-105 of this
18 title;

19 7. "Qualified expense" for the purpose of claiming the credit
20 authorized by paragraph 1 of subsection C of this section means
21 tuition and fees at a private school in this state accredited by the
22 State Board of Education or another accrediting association. Such
23 private school shall comply with the provisions of subsection L of
24 this section. Provided, the amount of tuition and fees considered a

1 qualified expense pursuant to this paragraph shall not include
2 tuition and fees paid with any scholarship or tuition and fees
3 discounted or otherwise reduced by the school;

4 8. "Qualified expense" for the purpose of claiming the credit
5 authorized by paragraph 2 of subsection C of this section means the
6 following expenditures:

- 7 a. tuition and fees for nonpublic learning programs,
8 online or in person,
- 9 b. academic tutoring services provided by an individual
10 or a private academic tutoring facility,
- 11 c. textbooks, curriculum, or other instructional
12 materials including, but not limited to, supplemental
13 materials or associated online instruction required by
14 an education service provider, and
- 15 d. fees for nationally standardized assessments
16 including, but not limited to, assessments used to
17 determine college admission and advanced placement
18 examinations as well as tuition and fees for tutoring
19 or preparatory courses for the assessments; and

20 9. "Taxpayer" means a biological or adoptive parent,
21 grandparent, aunt, uncle, legal guardian, custodian, or other person
22 with legal authority to act on behalf of an eligible student.

23 B. There is hereby created the Oklahoma Parental Choice Tax
24 Credit Program to provide an income tax credit to a taxpayer for

1 qualified expenses to support the education of eligible students in
2 this state.

3 C. For the tax year 2024 and subsequent tax years, and fiscal
4 year 2026 and subsequent fiscal years, there shall be allowed
5 against the tax imposed by Section 2355 of Title 68 of the Oklahoma
6 Statutes a credit for any Oklahoma taxpayer who incurs a qualified
7 expense on behalf of an eligible student, to be administered subject
8 to the following amounts:

9 1. If the eligible student attends a private school in this
10 state accredited by the State Board of Education or another
11 accrediting association, the annual maximum credit amount for tax
12 year 2024, fiscal year 2026, and each subsequent fiscal year shall
13 be:

14 a. Seven Thousand Five Hundred Dollars (\$7,500.00) or the
15 amount of tuition and fees for the private school,
16 whichever is less, if the combined adjusted gross
17 income of the parents or legal guardians of the
18 eligible student during the second preceding tax year
19 does not exceed Seventy-five Thousand Dollars
20 (\$75,000.00),

21 b. Seven Thousand Dollars (\$7,000.00) or the amount of
22 tuition and fees for the private school, whichever is
23 less, if the combined adjusted gross income of the
24 parents or legal guardians of the eligible student

1 during the second preceding tax year is more than
2 Seventy-five Thousand Dollars (\$75,000.00) but does
3 not exceed One Hundred Fifty Thousand Dollars
4 (\$150,000.00),

5 c. Six Thousand Five Hundred Dollars (\$6,500.00) or the
6 amount of tuition and fees for the private school,
7 whichever is less, if the combined adjusted gross
8 income of the parents or legal guardians of the
9 eligible student during the second preceding tax year
10 is more than One Hundred Fifty Thousand Dollars
11 (\$150,000.00) but does not exceed Two Hundred Twenty-
12 five Thousand Dollars (\$225,000.00),

13 d. Six Thousand Dollars (\$6,000.00) or the amount of
14 tuition and fees for the private school, whichever is
15 less, if the combined adjusted gross income of the
16 parents or legal guardians of the eligible student
17 during the second preceding tax year is more than Two
18 Hundred Twenty-five Thousand Dollars (\$225,000.00) but
19 does not exceed Two Hundred Fifty Thousand Dollars
20 (\$250,000.00), or

21 e. Five Thousand Dollars (\$5,000.00) or the amount of
22 tuition and fees for the private school, whichever is
23 less, if the combined adjusted gross income of the
24 parents or legal guardians of the eligible student

1 during the second preceding tax year is more than Two
2 Hundred Fifty Thousand Dollars (\$250,000.00);

3 2. For tax year 2024 and subsequent tax years, the maximum
4 credit amount shall be One Thousand Dollars (\$1,000.00) in qualified
5 expenses per eligible student in each tax year if the eligible
6 student is educated pursuant to the other means of education
7 exception provided for in subsection A of Section 10-105 of this
8 title. To claim the credit, the taxpayer shall submit to the
9 Commission receipts for qualified expenses as defined by paragraph 8
10 of subsection A of this section;

11 3. If the eligible student attends a private school in this
12 state, accredited by the State Board of Education or another
13 accrediting association, that exclusively serves students
14 experiencing homelessness, the credit amount shall be Seven Thousand
15 Five Hundred Dollars (\$7,500.00) or the amount of the cost to
16 educate the eligible student at the private school, whichever is
17 less;

18 4. If the eligible student attends a private school in this
19 state, accredited by the State Board of Education or another
20 accrediting association, that primarily serves financially
21 disadvantaged students, the credit amount shall be the maximum
22 credit amount authorized by paragraph 1 of this subsection or the
23 amount of the cost to educate the eligible student at the private
24 school, whichever is less. The cost to educate the eligible student

1 shall be equal to the average cost to educate all students attending
2 the private school, which shall be calculated by dividing the
3 private school's total expenditures in the previous year by the
4 total enrollment in the previous school year. A private school
5 shall be deemed to be primarily serving financially disadvantaged
6 students if ninety percent (90%) of the private school's admissions
7 are based on enrolling students whose gross family income is two
8 hundred fifty percent (250%) of the federal poverty threshold or
9 below;

10 5. The taxpayer shall retain all receipts of qualified expenses
11 as proof of the amounts paid each tax year the credit is claimed and
12 shall submit them to the Commission upon request;

13 6. If the credit exceeds the tax imposed by Section 2355 of
14 Title 68 of the Oklahoma Statutes, the excess amount shall be
15 refunded to the taxpayer; and

16 7. Credits claimed by a taxpayer pursuant to the provisions of
17 this section shall not be used to offset or pay the following:

- 18 a. delinquent tax liability,
- 19 b. accrued penalty or interest from the failure to file a
20 report or return,
- 21 c. accrued penalty or interest from the failure to pay a
22 state tax within the statutory period allowed for its
23 payment,

1 d. tax liability of the taxpayer from any prior tax year,
2 or

3 e. any debt, unpaid fine, final judgment, or claim filed
4 with the Commission by a qualified entity as defined
5 in Section 205.2 of Title 68 of the Oklahoma Statutes.

6 D. 1. a. For tax year 2024, the total amount of credits
7 authorized by paragraph 1 of subsection C of this
8 section shall not exceed One Hundred Fifty Million
9 Dollars (\$150,000,000.00).

10 b. For the period of January 1, 2025, through June 30,
11 2025, the total amount of credits authorized by
12 paragraph 1 of subsection C of this section shall not
13 exceed One Hundred Million Dollars (\$100,000,000.00).
14 The Commission shall not require a taxpayer who
15 received a credit pursuant to paragraph 1 of
16 subsection C of this section in tax year 2024 to
17 reapply for a credit payable during the period
18 described in this subparagraph. The Commission shall
19 base the credit amount payable for the spring 2025 on
20 the fall 2024 installment disbursement payment amount.

21 c. For fiscal year 2026 ~~and subsequent fiscal years~~, the
22 total amount of credits authorized by paragraph 1 of
23 subsection C of this section shall not exceed Two
24 Hundred Fifty Million Dollars (\$250,000,000.00).

d. For fiscal year 2027 and subsequent fiscal years, the total amount of credits authorized by paragraph 1 of subsection C of this section shall not exceed Three Hundred Million Dollars (\$300,000,000.00) unless otherwise provided by this subparagraph.

(1) If in any fiscal year, the total amount of credits claimed and approved equals or exceeds ninety percent (90%) of the annual limitation established by this subparagraph, the limitation for the succeeding fiscal year shall be increased by Fifty Million Dollars (\$50,000,000.00).

(2) For each subsequent fiscal year thereafter, if the total amount of credits claimed and approved equals or exceeds ninety percent (90%) of the applicable limitation for the immediately preceding fiscal year, the limitation shall be increased by Fifty Million Dollars (\$50,000,000.00).

2. For tax year 2026 and subsequent tax years, the total amount of credits authorized by paragraph 2 of subsection C of this section shall not exceed Five Million Dollars (\$5,000,000.00). The Oklahoma Tax Commission shall annually calculate and publish a percentage by which the credits authorized by this section shall be reduced so the total amount of credits used to offset tax does not exceed the

1 annual limit. The formula to be used for the percentage adjustment
2 shall be Five Million Dollars (\$5,000,000.00) divided by the amount
3 of credit claimed in the second preceding tax year. In the event
4 the total tax credits authorized by this section exceed the annual
5 limit in any tax year, the Tax Commission shall permit any excess
6 but shall factor such excess into the percentage adjustment formula
7 for subsequent tax years.

8 3. If a taxpayer, on behalf of an eligible student in the
9 program, chooses not to participate, is no longer eligible to
10 participate, or chooses to forgo participation in the program for
11 any reason, the credit authorized by paragraph 1 of subsection C of
12 this section but not used and not reallocated pursuant to paragraph
13 3 of subsection H of this section shall be added to the subsequent
14 fiscal year limitation as provided in paragraph 1 of this
15 subsection.

16 E. The Commission shall prescribe applications for the purposes
17 of claiming the credits authorized by the Oklahoma Parental Choice
18 Tax Credit Act and a deadline by which applications shall be
19 submitted. A taxpayer claiming the credit authorized by paragraph 1
20 of subsection C of this section shall submit an application
21 prescribed by the Commission to receive the credit based on the
22 enrollment verification form submitted pursuant to this subsection,
23 but in no event shall a payment exceed the amount of the credit
24 authorized by paragraph 1 of subsection C of this section. If an

1 eligible taxpayer provides documentation on the application that he
2 or she is a recipient of income-based government benefits including
3 the Supplemental Nutrition Assistance Program (SNAP), Temporary
4 Assistance for Needy Families (TANF), or the Oklahoma Medicaid
5 Program commonly known as SoonerCare, the eligible taxpayer shall
6 not be required to provide additional income verification. The
7 Department of Human Services and the Oklahoma Health Care Authority
8 shall, upon request by the Oklahoma Tax Commission, verify whether
9 an applicant receives income-based government benefits. The
10 taxpayer shall provide authorization for the Oklahoma Tax Commission
11 to disclose application data to the Department of Human Services
12 and/or the Oklahoma Health Care Authority, and for the Department of
13 Human Services and/or the Oklahoma Health Care Authority to provide
14 confirmation of benefits to the Oklahoma Tax Commission for purposes
15 of verifying that the taxpayer is a current recipient of SNAP, TANF,
16 or Oklahoma Medicaid Program benefits; provided, the information
17 shall not be used for any other purpose. A taxpayer claiming the
18 credit authorized by paragraph 1 of subsection C of this section
19 shall submit to the Commission an enrollment verification form from
20 the private school in which the eligible student is enrolled or is
21 expected to enroll with the tuition and fees to be charged the
22 taxpayer for the applicable school year. In reviewing applications
23 submitted by eligible taxpayers to determine whether they qualify
24 for a credit authorized by paragraph 1 of subsection C of this

1 section, the Commission shall give first preference in making
2 payments to taxpayers who qualify pursuant to subparagraphs a and b
3 of paragraph 1 of subsection C of this section. The Commission
4 shall give second preference in making payments to taxpayers who
5 qualify and have received the credit in the prior year. For credits
6 issued in the 2026-2027 school year and subsequent school years, the
7 application period shall be open March 15 through June 15 prior to
8 the beginning of each school year. For any eligible student whose
9 parents or legal guardians have a combined adjusted gross income
10 that does not exceed One Hundred Fifty Thousand Dollars
11 (\$150,000.00) or qualified and received credit in the prior year,
12 applications shall be submitted to the Commission within the first
13 sixty (60) days of the opening of the application period to receive
14 priority consideration. For students enrolled in the full school
15 year, the full credit amount authorized for the school year shall be
16 paid no later than August 30.

17 F. Taxpayers claiming the credit shall:

18 1. Only claim the credit for qualified expenses as defined in
19 paragraphs 7 and 8 of subsection A of this section to provide an
20 education for an eligible student;

21 2. Ensure no other person is claiming a credit for the eligible
22 student;

1 3. Not claim the credit for an eligible student who enrolls as
2 a full-time student in a public school district, public charter
3 school, public virtual charter school, or magnet school;

4 4. Comply with rules and requirements established by the
5 Commission for administration of the Oklahoma Parental Choice Tax
6 Credit Program; and

7 5. Notify the Commission not later than thirty (30) days after
8 the date on which the eligible student:

9 a. enrolls in a public school, including an open-
10 enrollment charter school,

11 b. enrolls in a nonaccredited private school,

12 c. graduates from high school, or

13 d. is no longer utilizing credits authorized by paragraph
14 1 of subsection C of this section for any reason.

15 G. Eligible students may accept a scholarship from the Lindsey
16 Nicole Henry Scholarships for Students with Disabilities Program
17 created by Section 13-101.2 of this title while participating in the
18 Oklahoma Parental Choice Tax Credit Program.

19 H. 1. The Commission shall have the authority to conduct an
20 audit or contract for the auditing of receipts for qualified
21 expenses submitted pursuant to paragraph 2 of subsection C of this
22 section.

23 2. The Commission shall be authorized to recapture the credits
24 otherwise authorized by the provisions of the Oklahoma Parental

1 Choice Tax Credit Act on a prorated basis if an audit conducted
2 pursuant to this subsection shows that the credit was claimed for
3 expenditures that were not qualified expenses or it finds that the
4 taxpayer has claimed an eligible student who no longer attends a
5 private school or has enrolled in a public school in the state.

6 3. The Commission shall be authorized to reallocate credits for
7 the current application year to the next eligible taxpayer in line
8 when a taxpayer, on behalf of an eligible student in the program,
9 chooses not to participate, is no longer eligible to participate, or
10 chooses to forgo participation in the program for any reason no
11 later than September 1 following the opening of the application
12 period of each year.

13 4. The Commission shall provide notification of approval status
14 to applicants within thirty (30) days of closure of the application
15 window. Notice to applicants with an eligible student, whose
16 parents or legal guardians have a combined adjusted gross income of
17 more than One Hundred Fifty Thousand Dollars (\$150,000.00), shall be
18 sent within thirty (30) days or no later than thirty (30) days after
19 the last day of the priority consideration period.

20 I. In the event of a failure of revenue pursuant to the
21 Oklahoma State Finance Act, the tax credits otherwise authorized in
22 subsection C of this section shall be reduced proportionately to the
23 reduction in the amount of money appropriated to the State Board of
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1 Education for the financial support of public schools for the fiscal
2 year in which the failure of revenue occurs.

3 J. The Commission shall make available on its website to be
4 updated monthly:

5 1. The total amount of credits claimed each year pursuant to
6 paragraphs 1 through 4 of subsection C of this section;

7 2. The amount of credits claimed and number of students awarded
8 each fiscal year pursuant to paragraph 1 of subsection C of this
9 section disaggregated by income categories;

10 3. The total amount of credits claimed and number of students
11 awarded who attended a public school in the semester immediately
12 preceding the school year for which the application is made each
13 year; and

14 4. The total number of applications denied and total amount of
15 credits the denied applications represent for each fiscal year.

16 K. Credits received pursuant to the Oklahoma Parental Choice
17 Tax Credit Act shall not constitute taxable income to a taxpayer who
18 received the credit on behalf of an eligible student.

19 L. No later than June 15 of each year, each participating
20 private school shall electronically provide information to confirm
21 student enrollment and tuition information for the fall and spring
22 semesters of the preceding school year and any other information
23 requested by the Oklahoma Tax Commission. Failure to provide this
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1 information may result in denial of private school participation in
2 subsequent school years.

3 M. An eligible and participating private school as of April 15,
4 2025, shall have until March 1, 2027, to meet the accreditation
5 requirements of this section.

6 SECTION 2. This act shall become effective November 1, 2026.

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